

Nike, Inc. - Legal & Contracts Due Diligence FY2024

Corporate Structure

Nike, Inc. is incorporated in Oregon, USA. Global operations are conducted through wholly-owned subsidiaries across 190+ countries. Key IP holding entities include Nike Innovate C.V. (Netherlands) and Converse Inc. (USA). The company employs approximately 79,500 full-time employees globally as of May 2024.

Material Litigation

Matter	Jurisdiction	Status	Estimated Exposure
Patent infringement (Adidas)	US District Court	Settled Feb 2024	Confidential
ERISA class action (retirement plan)	Oregon Federal	Ongoing	\$50M-\$150M
Employment discrimination (CA)	California Superior	Ongoing	\$25M
EU competition inquiry (exclusive licensing)	European Commission	Preliminary	Up to EUR200M
Supply chain labour claims	UK High Court	Pre-litigation	Undetermined

Intellectual Property

Nike holds 7,200+ active patents across footwear technology (Air, Flyknit, React, ZoomX), apparel, and digital fitness. The Swoosh trademark is registered in 190+ jurisdictions. Nike's IP portfolio is valued at an estimated \$32B per independent appraisal (2023). No material patent expiry risk within the next 5 years. Key licensing agreements with Jordan Brand generate royalty income of ~\$200M annually.

Key Contracts & Commitments

Contract Type	Counterparty / Scope	Expiry	Annual Value
Athlete sponsorship (Lebron James)	Individual	Lifetime deal	~\$30M/yr
Athlete sponsorship (Serena Williams)	Individual	2027	~\$12M/yr
League partnership (NBA)	NBA	2028	\$250M/yr
Manufacturing (Yue Yuen Industrial)	Contract mfg (30% of footwear)	Rolling	~\$4.5B/yr
Retail (Foot Locker)	Wholesale distribution	2026	~\$1.5B/yr
Digital (Apple - Fitness+)	Tech partnership	2026	Undisclosed

Compliance & Regulatory

Nike is subject to the EU Corporate Sustainability Reporting Directive (CSRD) beginning FY2025, requiring third-party assurance of Scope 1, 2, and 3 emissions. Current CDP climate disclosure rating is B. Nike committed to Science Based Targets (SBTi) Net Zero by 2050 with a 50% absolute Scope 1+2 reduction by 2030. No material sanctions or export control violations identified in the diligence review period.